HB 1300, changing the state's congressional districts. **MAJORITY: OUGHT TO PASS WITH AMENDMENT. MINORITY: INEXPEDIENT TO LEGISLATE.**

Rep. Ross Berry for the **Majority** of Election Law. This bill ensures that voters are given a clear and straightforward opportunity to decide whether to adopt a local tax effort cap on the portion of property taxes raised for their school district and a fixed cap on central office administrative spending. The question would appear on the ballot during the November general election, allowing voters to decide whether these limits should apply for the following two fiscal years. The majority believes that voters deserve the ability to make this decision free from procedural games or barriers that prevent the question from reaching the ballot. If the voters support a tax cap, they can enact it. If they do not support it, they can reject it. This bill simply guarantees that the public has the opportunity to decide the matter directly. The committee notes that the November general election typically has four to five times the turnout of a typical school district meeting or election, making it far more reflective of the true will of the community. Importantly, the same threshold required to adopt a tax cap at a school district meeting, a 3/5 majority, still applies under this bill. The proposal does not lower the bar for adoption; it simply ensures that the decision is made by a much larger portion of the electorate. The committee also heard concerns about the accessibility of current school district deliberative processes. In some communities, meetings can stretch eight hours or longer, with extended presentations and detailed budget discussions that make participation difficult for working families and many ordinary voters. The majority believes that placing the question before voters during the November election provides a fairer and more accessible opportunity for participation. The majority also emphasizes that this is a tax effort cap, not a spending cap. School districts may still receive funding from other sources, including state aid, grants, or other revenues. The bill only limits the growth of property taxes raised locally, which remain the primary driver of the property tax burden facing many New Hampshire residents. Finally, the bill applies only to school district spending and school administrative unit central office administrative budgets. School spending represents the largest driver of local property taxes in New Hampshire, and voters deserve a regular opportunity to weigh in on whether limits should be placed on that growth. The majority firmly believes that giving voters a voice on this issue strengthens local control and public accountability. The majority of the committee does not fear the will of the people and believes taxpayers should be trusted to make informed decisions about the costs imposed upon them. **Vote 9-8.**

Rep. James Newsom for the **Minority** of Election Law. This bill, as amended, will mandate towns hold a tax cap vote for schools during the November general elections. Simply stated, it is far from ready for passage and contains more problems than can be listed in a simple minority report, but…. major concerns arise from having a town or ward election forcing a budget cap on a school district, which is a separate entity. Adding a tax cap in November, in the middle of budgets being developed, will create chaos and uncertainty for schools and budget committees. Additionally, the bill separates the law for those towns that have adopted the official ballot system from those towns that have not. In November, there is no official ballot system. November are state elections without any SB 2 issues whatsoever. Furthermore, the voting mechanisms in this bill do not account for the multi-state pacts of several school districts. Just like a town cannot tax cap a school district, NH cannot force Vermont to vote as it relates to the Hanover School District. Next up, is this amendment is non-germane to the bill that was referred to the committee. There was a hearing on a different non-germane amendment that was never discussed, exec'd, or considered in any way by the committee, but not for this amendment that was described by its sponsor as "substantially changed." House Rule 46(b) may have been broken. Additionally, this bill is wholly unnecessary as there are other statutes already in place to implement a tax cap. Additionally, this bill calls for votes to be certified by the secretary of the school administrative unit (SAU). This office does not exist and usurps the power of the moderator. Financially, this bill may not do what it intends to do. The bill caps revenues raised by taxation meaning that if the current administration is successful in overturning the education funding cases and this body decides to not fund which is a safe assumption based on the efforts to overturn decades of established precedent, then massive revenues would be lost or huge increases to local property taxes would be incurred. Also on the financial side, there are adjustments for attendance which will adjust taxation on per pupil rates, but actual costs are incurred on marginal rates. This will irresponsibly disproportionately reduce revenue when compared to costs. The committee heard testimony that this bill would be an unconstitutional referendum. Whether it is or it is not, the way we will learn is by spending another $1.5 million in unbudgeted legal costs for the state. In addition to the subject matter problems identified above, the procedural aspects were less than adequate. During the January hearing on the other non-germane amendment, the chair indicated that the committee would hold an additional hearing and we would have a work-session on this bill. Neither occurred, and instead, the majority's non-germane amendment was circulated at the 11th hour and was adopted without a hearing. This body has recently rejected tax cap bills and should continue that position with the proper vote of Inexpedient to Legislate.

HB 1306, relative to the counting of absentee ballots. **MAJORITY: OUGHT TO PASS WITH AMENDMENT. MINORITY: INEXPEDIENT TO LEGISLATE.**

Rep. Claudine Burnham for the **Majority** of Election Law. This bill establishes a standardized reporting form for election moderators to account for absentee ballots across several categories. Far from being unnecessary,